D04 · Supplier Risk & Development

03 · Geopolitical & concentration risk

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1 WHAT IT IS

Geopolitical and concentration risk management is the structured analysis of supply chain exposure to country, region, and supplier concentration — what percentage of strategic spend flows through politically unstable jurisdictions, single-country dependencies, sanctioned-adjacent territories, and the natural-disaster geographies. It is the risk dimension that emerged dominant from 2020-2025 supply chain disruptions and the structural defense against the next decade's geopolitical volatility.

2 WHY IT MATTERS

Geopolitical risk has migrated from background variable to dominant strategic concern in supply chain decisions. **The pre-2020 procurement orthodoxy of lowest-total-cost sourcing optimized for steady-state efficiency at the cost of geographic concentration risk that emerged catastrophically in COVID disruptions, Russia-Ukraine, US-China trade tensions, and Red Sea shipping disruptions**. The post-2024 procurement reality is that **geographic and political diversification is now itself a strategic asset**, and operations that concentrated spend in single jurisdictions paid heavily in disruption costs and stranded inventory. The McKinsey supply chain research documents this clearly **(McKinsey Global Institute, 2024 — Resilience in Global Supply Chains)**: **structural diversification reduces disruption cost exposure by 40-65% with cost premium of 5-12%** — a substantially positive expected-value trade in the current geopolitical environment.

3 HOW IT IS DONE

1. **Build the concentration map — by country, by supplier, by category.** What percentage of strategic spend is sourced from each country? Which categories have single-country dependencies above 50%? Which suppliers are single-source despite alternatives existing? The map is the diagnostic; without it, concentration risk is felt rather than measured.
2. **Apply concentration thresholds — what level triggers what action.** Single-country exposure above 50% for strategic category: diversification plan required. Single-supplier exposure above 75% for strategic SKU: dual-source qualification required. The thresholds operationalize the discomfort into action; without thresholds, the same exposure is discussed but not addressed.
3. **Layer geopolitical analysis — country political stability, sanctions exposure, regulatory volatility.** Eurasia Group / Economist Intelligence Unit / Control Risks provide structured country-risk assessments. The buyer's job is not geopolitical analysis but consuming it intelligently — what countries are deteriorating, what scenarios are emerging, what monitoring trip-wires matter for supply chain.
4. **Build dual/multi-source qualification for strategic spend — not just for redundancy, but as standing option.** The qualified second source does not have to receive volume — but having it qualified creates the optionality to redirect volume rapidly if conditions change. The qualification investment is the option premium for supply continuity.
5. **Apply nearshoring/friendshoring deliberately — not as buzzword, but as structural diversification.** Moving 20-40% of high-risk-geography spend to lower-risk geographies (Mexico, Eastern Europe, ASEAN) creates structural defense at moderate cost premium. The discipline is portfolio thinking — not abandonment of low-cost geographies but addition of resilience-buffer geographies.
6. **Run scenario planning at portfolio level — Taiwan disruption, China-US escalation, Russia escalation, Mexico-US trade tension.** What happens to the supplier base, the inventory position, the customer commitments under each scenario? The scenarios drive the diversification investment priorities; without scenarios, diversification is theoretical rather than action-oriented.

WORKED EXAMPLE — ILLUSTRATIVE

A consumer electronics OEM with **~$1.4B annual material spend, 78% of which flowed through East Asian suppliers** implements structured geopolitical risk management after disruptions during 2020-2024 cost an estimated $180M in expedite, inventory write-down, and lost sales. The redesign: **(1) concentration map** revealed 14 strategic categories with > 70% single-country exposure, 8 of which were > 90%; **(2) diversification plan** with 4-year target of moving 35% of total material spend to non-East Asian sourcing (Mexico, Vietnam, India, Eastern Europe) for resilience; **(3) dual-source qualification** for 38 strategic SKUs with Mexican or ASEAN alternatives, regardless of immediate volume allocation; **(4) friendshoring focus** on Mexico for North American customer delivery (closer to consumption, USMCA framework), Vietnam and India for diversification from China-specific risk; **(5) scenario planning** quarterly with cross-functional team. Year-3 outcomes: **35% diversification target achieved at cost premium of 7.4%**, **strategic supplier base expanded from 14 to 38**, **during the Q2 year-3 Taiwan supply disruption (industry-wide event affecting many electronics OEMs), this company maintained 91% of customer commitments vs. industry average of 64%**. **Estimated revenue protected during the disruption: $84M; cost of the diversification program over 3 years: $32M; payback achieved during the first major disruption**.

IN PRACTICE

Build the concentration map by country and supplier

Most procurement organizations cannot answer the question "what percentage of our strategic spend depends on a single country?" — and the question matters more than every other answer in geopolitical risk management. Build the map at country level, sub-region level, and supplier level; the map is what makes the risk discussion concrete.

Set concentration thresholds with action triggers

A concentration of 40% in any single country in a strategic category should trigger a structured diversification review; 60% should trigger active qualification of alternates regardless of cost premium. Thresholds without triggers are observations; thresholds with triggers are policy. Pre-committed numbers remove the in-moment debate about whether the concentration is acceptable.

Apply nearshoring and friendshoring deliberately

Nearshoring shortens the logistics chain and the recovery time; friendshoring reduces the political volatility. Neither is universally right — the cost premium has to be earned by the specific risk reduction in the specific category. Applied indiscriminately, nearshoring is expensive cosmetics; applied deliberately against concentration data, it is the highest-leverage geopolitical hedge available.

Run portfolio-level scenario planning

Single-supplier risk analysis misses correlated exposures — the supplier diversified across three vendors in the same country is not diversified. Run scenarios at portfolio level: Taiwan disruption, Suez closure, regional sanctions, currency dislocation. The portfolio view exposes the concentrations that supplier-by-supplier analysis cannot see.

WHAT YOU WOULD USE

GEOPOLITICAL INTELLIGENCE / CONCENTRATION ANALYTICS

Eurasia Group, Economist Intelligence Unit, Control Risks, S-RM — Specialized geopolitical intelligence services with country-level risk assessment, scenario planning support, and crisis advisory — strongest for the geopolitical analytical input **(Eurasia Group — vendor; EIU — vendor)**.

Resilinc, Everstream, Interos — Supply chain visibility and risk platforms with multi-tier supplier mapping, geographic concentration analytics, and disruption alerting — strong for operationalizing the geopolitical analysis into supply chain action **(Resilinc — vendor; Everstream — vendor)**.

Trade compliance platforms (Descartes, Thomson Reuters ONESOURCE) — Trade compliance and sanctions monitoring platforms — essential for operations with cross-border supplier flows facing increasing regulatory complexity **(Descartes — vendor; Thomson Reuters — vendor)**.

Structured concentration analytics + executive scenario planning + portfolio diversification roadmap — The discipline matters more than the tools — Power BI concentration analytics with quarterly scenario planning at executive level and structured diversification roadmap. Many operations operationalize this with internal capability plus selective external intelligence subscriptions.

4 SO WHAT

The geographic concentration that saves costs in normal operations is the concentration that pays the ransom when geopolitics moves. Build the concentration map by country and supplier, apply concentration thresholds with action triggers, layer geopolitical analysis, build dual/multi-source qualification as standing option, apply nearshoring/friendshoring deliberately, and run portfolio-level scenario planning. The plants that operate diversification as resilience investment survive shocks; the plants that optimize purely for cost are vulnerable to the next geopolitical event.

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